

2025 Rental Real Estate — Owner Tax Package

1184 N Lakewood Dr, Coeur d'Alene, ID 83814 · Placed in service 04/15/2017

Owners Gus & Marlene Pendergast (100%)	Property type Single-family residential
Manager Summit Property Management	Days rented at fair value 365
Days of personal use 0	Owner participation Owner; PM handles operations

Schedule E, Part I — Income and Expenses

Line	Item	Amount
3	Rents received	21,600.00
9	Insurance	1,150.00
11	Management fees	1,728.00
12	Mortgage interest (Form 1098)	9,400.00
14	Repairs	1,860.00
16	Taxes (property)	2,300.00
17	Utilities	540.00
18	Depreciation expense	9,000.00
19	Other (HOA)	1,200.00
20	Total expenses	27,178.00
21	Income/(loss)	(5,578.00)

Line 21 is the property's result before any passive activity loss limitation. Passive activity rules and the owner's participation determine the amount currently deductible.

MACRS Depreciation Schedule

27.5-year residential, straight line, mid-month convention

Year	Depreciable basis	Convention/Rate	Depreciation	Accumulated
2017	247,500.00	MM 1.970%	6,375.60	6,375.60
2018	247,500.00	3.636%	9,000.00	15,375.60
2019	247,500.00	3.636%	9,000.00	24,375.60
2020	247,500.00	3.636%	9,000.00	33,375.60
2021	247,500.00	3.636%	9,000.00	42,375.60
2022	247,500.00	3.636%	9,000.00	51,375.60
2023	247,500.00	3.636%	9,000.00	60,375.60
2024	247,500.00	3.636%	9,000.00	69,375.60
2025	247,500.00	3.636%	9,000.00	78,375.60

Depreciable basis excludes land value. Current-year depreciation of 9,000.00 is included in Schedule E line 18. Accumulated depreciation reduces adjusted basis and is subject to recapture on disposition.

Monthly Rent Roll — 2025

Month	Rent due	Received	Date received	Late fee
January	1,800.00	1,800.00	2025-01-03	0.00
February	1,800.00	1,800.00	2025-02-03	0.00
March	1,800.00	1,800.00	2025-03-03	0.00
April	1,800.00	1,800.00	2025-04-03	0.00
May	1,800.00	1,800.00	2025-05-03	0.00
June	1,800.00	1,800.00	2025-06-03	0.00
July	1,800.00	1,800.00	2025-07-03	0.00
August	1,800.00	1,800.00	2025-08-03	0.00
September	1,800.00	1,800.00	2025-09-03	0.00
October	1,800.00	1,800.00	2025-10-03	0.00
November	1,800.00	1,800.00	2025-11-03	0.00
December	1,800.00	1,800.00	2025-12-03	0.00
Total	21,600.00	21,600.00		0.00

Itemized Expense Ledger — 2025

Date	Vendor	Category	Amount
2025-01-12	Coeur d'Alene Insurance	Insurance	1,150.00
2025-02-03	Kootenai County Treasurer	Property tax	1,150.00
2025-03-19	Lakeview Plumbing	Repairs	640.00
2025-05-22	Idaho Roofing Co	Repairs	520.00
2025-06-14	Avista (rental)	Utilities	180.00
2025-07-14	Avista (rental)	Utilities	180.00
2025-08-02	Kootenai County Treasurer	Property tax	1,150.00
2025-08-28	HOA Lakewood Assn	HOA	600.00
2025-09-15	Handyman Services CDA	Repairs	700.00
2025-10-14	Avista (rental)	Utilities	180.00
2025-11-28	HOA Lakewood Assn	HOA	600.00
Mgmt (12 × 144.00)	Summit Property Management	Management	1,728.00
Total cash expenses			9,178.00

Cash expenses of 9,178.00 plus depreciation of 9,000.00 equal total expenses of 18,178.00 before mortgage interest; with mortgage interest of 9,400.00 the total is 27,178.00. Management fees are withheld from rent by the property manager.

Form 1098 — Mortgage Interest Statement

Lender Lakewood Mortgage Servicing LLC	Lender TIN 82-4419930
Borrower Gus Pendergast	Borrower TIN XXX-XX-8091
Property 1184 N Lakewood Dr, Coeur d'Alene, ID	Account ML-7741-2210

Box	Description	Amount
1	Mortgage interest received from payer	9,400.00
2	Outstanding mortgage principal	181,400.00
3	Mortgage origination date	04/15/2017
5	Mortgage insurance premiums	0.00
6	Points paid on purchase	0.00

Mortgage interest of 9,400.00 relates to the rental property and is reported on Schedule E line 12. The loan is secured by the Coeur d'Alene property.

Property Tax and Insurance Statements

Kootenai County Property Tax

Installment	Due date	Parcel	Amount
First half	2025-02-03	K-0042-1184-LW	1,150.00
Second half	2025-08-02	K-0042-1184-LW	1,150.00
Total			2,300.00

Hazard Insurance

Carrier	Policy	Term	Premium
Coeur d'Alene Insurance Group	HO3-LW-1184	2025 annual	1,150.00

Owner Remittance Statements — Summit Property Management

Owner Statement — January 2025

Item	Amount
Gross rent collected	1,800.00
Less: management fee (8%)	(144.00)
Net remitted to owner	1,656.00
Remittance date	2025-01-18
Deposited to	Inland Cascade ****3318

Owner Statement — February 2025

Item	Amount
Gross rent collected	1,800.00
Less: management fee (8%)	(144.00)
Net remitted to owner	1,656.00
Remittance date	2025-02-18
Deposited to	Inland Cascade ****3318

SUMMIT PROPERTY MANAGEMENT

Owner Tax Package · Coeur d'Alene, Idaho

Owner Statement — March 2025

Item	Amount
Gross rent collected	1,800.00
Less: management fee (8%)	(144.00)
Net remitted to owner	1,656.00
Remittance date	2025-03-18
Deposited to	Inland Cascade ****3318

Owner Statement — April 2025

Item	Amount
Gross rent collected	1,800.00
Less: management fee (8%)	(144.00)
Net remitted to owner	1,656.00
Remittance date	2025-04-18
Deposited to	Inland Cascade ****3318

SUMMIT PROPERTY MANAGEMENT

Owner Tax Package · Coeur d'Alene, Idaho

Owner Statement — May 2025

Item	Amount
Gross rent collected	1,800.00
Less: management fee (8%)	(144.00)
Net remitted to owner	1,656.00
Remittance date	2025-05-18
Deposited to	Inland Cascade ****3318

Owner Statement — June 2025

Item	Amount
Gross rent collected	1,800.00
Less: management fee (8%)	(144.00)
Net remitted to owner	1,656.00
Remittance date	2025-06-18
Deposited to	Inland Cascade ****3318

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Owner Tax Package · Coeur d'Alene, Idaho

Owner Statement — July 2025

Item	Amount
Gross rent collected	1,800.00
Less: management fee (8%)	(144.00)
Net remitted to owner	1,656.00
Remittance date	2025-07-18
Deposited to	Inland Cascade ****3318

Owner Statement — August 2025

Item	Amount
Gross rent collected	1,800.00
Less: management fee (8%)	(144.00)
Net remitted to owner	1,656.00
Remittance date	2025-08-18
Deposited to	Inland Cascade ****3318

SUMMIT PROPERTY MANAGEMENT

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Owner Statement — September 2025

Item	Amount
Gross rent collected	1,800.00
Less: management fee (8%)	(144.00)
Net remitted to owner	1,656.00
Remittance date	2025-09-18
Deposited to	Inland Cascade ****3318

Owner Statement — October 2025

Item	Amount
Gross rent collected	1,800.00
Less: management fee (8%)	(144.00)
Net remitted to owner	1,656.00
Remittance date	2025-10-18
Deposited to	Inland Cascade ****3318

SUMMIT PROPERTY MANAGEMENT

Owner Tax Package · Coeur d'Alene, Idaho

Owner Statement — November 2025

Item	Amount
Gross rent collected	1,800.00
Less: management fee (8%)	(144.00)
Net remitted to owner	1,656.00
Remittance date	2025-11-18
Deposited to	Inland Cascade ****3318

Owner Statement — December 2025

Item	Amount
Gross rent collected	1,800.00
Less: management fee (8%)	(144.00)
Net remitted to owner	1,656.00
Remittance date	2025-12-18
Deposited to	Inland Cascade ****3318

Participation, Prior-Year Carryforward, and Notes

Item	Detail
Ownership	Gus & Marlene Pendergast, 100%
Property type	Single-family residential rental
Real estate professional status	No
Active participation	Owner sets rents/approves repairs; PM handles operations
Days rented at fair rental value	365
Days of personal use	0
Prior-year unallowed passive loss	0.00
Current-year property result (line 21)	(5,578.00)

The property is managed day to day by Summit Property Management. The owners set rental terms and approve significant repairs but are not real estate professionals.

There is no carryforward of unallowed passive losses from prior years; the property generated income or broke even in earlier years.

Depreciation is computed on the building basis only; land is not depreciable. On a future sale, accumulated depreciation is subject to recapture.

This package summarizes the rental activity for the year. Whether the current-year loss is fully deductible depends on the applicable passive activity loss rules and the owners' overall tax situation.

Lease Summary and Tenant Ledger

Item	Detail
Tenant	R. & J. Castellano
Lease term	12 months (Jan 1 – Dec 31, 2025)
Monthly rent	1,800.00
Security deposit held	1,800.00
Late fees charged	0.00
Lease status	Renewed for 2026

Tenant Payment Ledger

Date	Description	Payment	Balance due
2025-01-03	Rent payment	1,800.00	0.00
2025-02-03	Rent payment	1,800.00	0.00
2025-03-03	Rent payment	1,800.00	0.00
2025-04-03	Rent payment	1,800.00	0.00
2025-05-03	Rent payment	1,800.00	0.00
2025-06-03	Rent payment	1,800.00	0.00
2025-07-03	Rent payment	1,800.00	0.00
2025-08-03	Rent payment	1,800.00	0.00
2025-09-03	Rent payment	1,800.00	0.00
2025-10-03	Rent payment	1,800.00	0.00
2025-11-03	Rent payment	1,800.00	0.00
2025-12-03	Rent payment	1,800.00	0.00
Total		21,600.00	0.00

Capital Improvements and Asset Schedule

Asset	Placed in service	Cost	Recovery	2025 depreciation
Building (excl. land)	04/15/2017	247,500.00	27.5 yr SL	9,000.00
Land (non-depreciable)	04/15/2017	52,500.00	—	0.00
Total acquisition cost	04/15/2017	300,000.00		9,000.00

No capital improvements were placed in service during 2025. Only the building is depreciable; land of 52,500.00 is not depreciable.

Adjusted Basis Roll-forward

Item	Amount
Original cost (building + land)	300,000.00
Accumulated depreciation through 2025	(78,375.60)
Adjusted basis at 12/31/2025	221,624.40

Prior-Year Schedule E Comparison

Line item	2023	2024	2025
Rents received	21,000.00	21,300.00	21,600.00
Total expenses (incl. depr.)	26,400.00	26,800.00	27,178.00
Net income/(loss)	(5,400.00)	(5,500.00)	(5,578.00)
Prior-year unallowed loss carryforward	0.00	0.00	0.00

Rents and expenses have been stable year over year. There is no carryforward of unallowed passive losses into 2025.

Section 199A Rental Real Estate Safe Harbor Statement

Revenue Procedure 2019-38

The taxpayers treat the rental real estate interest below as a single rental real estate enterprise and rely on the safe harbor of Revenue Procedure 2019-38 for purposes of section 199A.

Safe-harbor requirement	Detail / status
Rental real estate enterprise	1184 N Lakewood Dr, Coeur d'Alene, ID 83814
Separate books and records maintained	Yes — dedicated ledger for this property
250+ hours of rental services performed	Yes — 268 hours in 2025 (see breakdown)
Contemporaneous records of services kept	Yes — time, description, and performer logged
Services performed by	Owner and Summit Property Management (manager/agents)
Property used by the taxpayer as a residence	No — 0 personal-use days
Triple-net lease	No
Enterprise treated consistently year to year	Yes

Rental Services Hours — 2025 Breakdown

Service category	Performed by	Hours
Advertising / leasing & tenant screening	Summit PM	34
Negotiating and executing leases	Summit PM	12
Rent collection and tenant relations	Summit PM	48
Daily operation, maintenance & repair	Summit PM / vendors	118
Property inspections and turnover	Summit PM	26
Purchase of materials; supervision of work	Owner / Summit PM	30
Total rental services		268

Hours spent on financing, reviewing financial statements, planning, or traveling to and from the property are not included in the total above, consistent with the revenue procedure. A signed statement attesting to these facts is maintained with the return.